

**Sloan School of Management, MIT**  
**15.809: Introduction to Marketing and Strategy**

**Instructor**

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**Web Site**

The website for the course contains PowerPoint slides for each lecture together with other useful materials: <https://canvas.mit.edu/courses/38464>. The materials for the class can all be obtained through the Canvas site.

Note that the copyrighted materials are supplied through a system called Study.net, which you access through the class Canvas site.

**Nature and Purpose of the Course**

This course is an introduction to both marketing electives and the strategy courses in the Sloan Fellows program. The course has two parts: a strategic portion and a tactical portion. The strategic portion introduces the core strategic framework that we use to evaluate the attractiveness of different markets. The tactical portion of the course reviews the methods that firms can use to optimize their profits in the markets that they choose to target.

**Course Materials**

The course draws upon a readings packet containing cases and required readings. There is no required textbook for this subject.

**Evaluation of Work**

The class is graded P/D/F. If you complete the required case reports and participate actively in class discussion you will pass the course.

## Organization of Course

The course is organized so that each class is a lecture or a case discussion. Copies of the PowerPoint decks used in the lectures are available on the class website. The slides are not complete - they will need to be annotated during the lectures.

There are complete Teaching Notes written summarizing the contents of the several lectures. These include:

| Topic         | Teaching Note                                                                          | Location  |
|---------------|----------------------------------------------------------------------------------------|-----------|
| Introduction  | The Lost Art of Thinking in Large Organizations                                        | Study.net |
| Create Value  | Why Great New Products Fail                                                            | Study.net |
| Capture Value | Capturing Value - What Have We Learned From Observing Firms Attempts to Differentiate? | Canvas    |
| Deliver Value | Delivering Value: Collaborating and Competing in the Value Chain                       | Canvas    |

## Class Discussion

The benefit that you will derive from the course will depend upon the extent to which you expose your own viewpoints or conclusions to the critical judgement of the class. You should view class participation both as an opportunity to ask questions to enhance your understanding, as well as an opportunity to suggest examples that demonstrate your understanding of the material. It is imperative that you read all of the cases to be discussed and come to class with a series of comments that you think will be interesting to the class.

## Cases

You should read these cases carefully and come to class prepared to provide constructive input. The only materials I expect you to have read before coming to class are the cases. The best way to prepare is to attempt to answer the discussion questions (provided in the back of this course outline). If you can answer each question well, you will understand the basic issues of the case.

### Group Case Reports

Each group will be required to submit the following group case reports:

Apex Ski Boots

Barco

Sephora (new case)

Indian Premier League

The reports should consist of no more than 6 pages (some can be a lot shorter) and should address the discussion questions provided in the back of this course outline. Your reports must be handed in at the start of the class discussion in which the case will be discussed.

Questions for each case can be found at the back of this course outline. Use these questions to structure your reports (and to help prepare for the case discussion). Some additional recommendations:

1. Your reports can be in bullet point form.
2. Separately answer each question. Use headings to highlight which questions you are answering.
3. Start with the most obvious points and then work from there. Do not omit the obvious points.
4. I am more interested in the quality of your analysis than the accuracy of your conclusions. Make sure that you give both the pros and the cons of each alternative.
5. Read the previous session's lecture notes before writing your analysis.
6. Structure your answers using sub-headings if necessary to make it clear that you have used an analytical approach to reach your answers. The TA will be treating (apparently) random lists of issues with caution.

A common remark made by students after the case discussions is that their group talked about most of the important points but ran out of space in which to write them all down. This is symptomatic. The course helps you to identify which of the details hidden in the myriad of facts comprising each case are most relevant. The page constraint forces you to reveal what you think is relevant.

## **Collaborating**

Please read the MIT Sloan Classroom Policies and Norms AY25-26 document posted on the Canvas site.<sup>1</sup> The type of collaboration allowed in this class matches what is written in that document about “Collaboration Required with Team Deliverable”:

- The team may divide the work of any one assignment as they deem appropriate as long as each team member contributes to the assignment. It is not acceptable for teams to divide assignments across classes (e.g., certain team members complete a project for one class while others complete the written assignment for another).
- I am explicitly giving you permission to collaborate with other teams.
- Regardless of how work is shared or responsibilities are divided among individual team members, each member of the team will be held accountable for the academic integrity of the entire assignment. If, for example, one member of the team submits plagiarized work on behalf of the team, the entire team will be subject to sanctions as appropriate.

## **Generative AI**

Students are allowed to use ChatGPT or any other generative artificial intelligence (AI) tools to help prepare their group case reports.

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<sup>1</sup> <https://mysloan.mit.edu/academics/tl/directlinks/Classroom%20Policies%20and%20Norms.AY25-26.pdf>

## Class Schedule

| Class | Date    | Class Content                           |
|-------|---------|-----------------------------------------|
| 1     | June 11 | Introduction and <i>Aqualisa Quartz</i> |
| 2     | June 11 | Create Value: Why Great Products Fail   |
| 3     | June 12 | <i>Apex Ski Boots</i>                   |
| 4     | June 15 | Capture Value                           |
| 5     | June 18 | <i>Barco Projection Systems</i>         |
| 6     | June 22 | Deliver Value                           |
| 7     | June 23 | <i>Sephora (new case)</i>               |
| 8     | June 25 | Strategy Summary                        |
| 9     | June 26 | Pricing                                 |
| 10    | June 29 | Data and Analytics                      |
| 11    | June 30 | Experimentation                         |
| 12    | July 1  | New Product Development                 |
| 13    | July 6  | Managing Strategic Uncertainty          |
| 14    | July 7  | Go-to-Market Strategies: Problems       |
| 15    | July 9  | Go-to-Market Strategies: Solutions      |
| 16    | July 10 | <i>Indian Premier League</i>            |

### **Schedule for Deliverables**

*Hand in at the start of the class*

| <b>Day</b> | <b>Class Content</b>            |
|------------|---------------------------------|
| June 12    | <i>Apex Ski Boots</i>           |
| June 18    | <i>Barco Projection Systems</i> |
| June 23    | <i>Sephora</i>                  |
| July 10    | <i>Indian Premier League</i>    |

### **Required Reading BEFORE the Class Starts in June**

Please read all of the cases before the class starts in June.

Note that the Aqualisa Quartz case will be discussed in the first class on June 11.

#### **Cases**

Aqualisa Quartz: Simply a Better Shower (HBS 502030)

Apex Ski Boots (520013-PDF-ENG)

Barco Projection Systems (A) (591133-PDF-ENG)

Sephora (KE1374)

Indian Premier League (SPM38-PDF-ENG)

Discussion questions for each case appear on the following pages. The cases are accessed through the class Canvas site.

### Required and Recommended Pre-Reading by Class

| Topic                           | Required Pre-Reading      | Recommended Post-Reading                                                               |
|---------------------------------|---------------------------|----------------------------------------------------------------------------------------|
| <b>Introduction</b>             |                           | The Lost Art of Thinking in Large Organizations                                        |
| <b>Create Value</b>             |                           | Why Great New Products Fail                                                            |
| <b>Capture Value</b>            |                           | Capturing Value - What Have We Learned From Observing Firms Attempts to Differentiate? |
| <b>Deliver Value</b>            | Alibaba Snr Exec On Apple | Delivering Value: Collaborating & Competing in the Value Chain                         |
| <b>Strategy Summary</b>         |                           |                                                                                        |
| <b>GTM: Problems</b>            |                           |                                                                                        |
| <b>GTM: Solutions</b>           |                           | Designing Supply and Distribution Channels                                             |
| <b>Experimentation</b>          |                           | A Step-by-Step Guide to Smart Business Experiments                                     |
| <b>Product Development</b>      |                           | Jeff Bezos 2016 Letter to Shareowners                                                  |
| <i>Aqualisa Quartz</i>          | Aqualisa Quartz           |                                                                                        |
| <i>Apex Ski Boots</i>           | Apex Ski Boots            |                                                                                        |
| <i>Barco Projection Systems</i> | Barco Projection Systems  |                                                                                        |
| <i>Sephora</i>                  | Sephora                   |                                                                                        |
| <i>Indian Premier League</i>    | Indian Premier League     |                                                                                        |

## Where to Find Recommended and Background Readings

|                                                                                                                                                                                                                                                                                     |                                                               |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------|
| <b>Introduction</b><br>The Lost Art of Thinking in Large Organizations                                                                                                                                                                                                              | Study.net                                                     |
| <b>Create Value</b><br>Why Great New Products Fail                                                                                                                                                                                                                                  | Study.net                                                     |
| <b>Capture Value</b><br>Capturing Value - What Have We Learned From Observing Firms Attempts to Differentiate?<br>Even Commodities Have Customers<br>The Grass Isn't Greener                                                                                                        | Canvas<br>Study.net<br>Study.net                              |
| <b>Deliver Value</b><br>Q&A: Alibaba Senior Executive On Apple, M&A and U.S. Plans<br>Delivering Value: Collaborating and Competing in the Value Chain<br>How to Drive Value Your Way<br>When Marketing is Strategy                                                                 | Study.net<br>Canvas<br>Study.net<br>Study.net                 |
| <b>Strategy Summary</b><br>How Managers Become Leaders<br>The Big Lie of Strategic Planning<br>Simple Rules for a Complex World                                                                                                                                                     | Study.net<br>Study.net<br>Study.net                           |
| <b>Experimentation</b><br>A Step-by-Step Guide to Smart Business Experiments                                                                                                                                                                                                        | Study.net                                                     |
| <b>New Product Development</b><br>Jeff Bezos: Letter to Shareholders (2016)<br>A Month is 15 Weekends: Lean Startup Machines                                                                                                                                                        | Canvas<br>Study.net                                           |
| <b>Go-to-Market Strategies</b><br>Designing Supply and Distribution Channels<br>Economics Organization and Efficiency<br>Internet Channel Conflict: Problems and Solutions<br>Direct and Indirect Bargaining Costs & the Scope of the Firm<br>Launching a World-Class Joint Venture | Study.net<br>Study.net<br>Study.net<br>Study.net<br>Study.net |



### **Aqualisa Quartz**

1. Why do customers and plumbers not recognize the benefits of the Quartz?
2. What factors will determine the profits that Aqualisa will earn from the Quartz?

#### **Notes:**

- You do not need to hand in a group report for this case.
- A model answer for this case will be available after the session.

### **Apex Ski Boots**

1. Why are consumers not recognizing the value of this product?
2. Why is Apex having trouble selling through specialty stores (which represent 80% of the ski equipment market)?
3. If the Apex ski boot is successful, are there any entry barriers to prevent other firms from entering the market with a similar product?
4. Imagine that a major brand designed a comfortable ski boot like Apex. Would they be more likely to succeed?
5. Assume that one retailer dominates the retail level of the value chain.
  - a. What determines who has more bargaining power: Apex or the retailer?
  - b. Would this retailer want Apex to invest in a large advertising campaign to convince customers that its ski boot is a better ski boot?

## **Barco Projection Systems**

1. Do you think that the following factors represent important strategic resources for Barco?
  - Barco's dealer network
  - Barco's brand
  - Barco's electrical engineers
2. What decisions has Barco made that contribute to its current problems?
3. Who has market power?
4. What is Sony's strategic plan? What are the implications for Barco?
5. What criteria does a niche market have to satisfy to be a good niche market?

## **Sephora**

1. How does the shift in purchasing from physical stores to online stores impact brand differentiation?
2. How can brands or retailers differentiate in their customer-facing AI tools?
3. Which of the use cases listed on page 5 of the case could create a sustainable competitive advantage?
4. How are the following strategic resources being impacted by AI:
  - Cost advantages
  - Brands
  - Relationships
  - Positive network externalities (some products are more valuable when there are more other customers using them e.g. the fax machine, Facebook).
  - Switching costs

## **Indian Premier League**

1. Why was the league successful in its first season, and how long is this likely to be sustainable?
2. What advantages does the league gain from having franchisees managing the teams rather than owning and managing the teams itself?
3. How do the league's goals potentially differ from those of the team owners?
4. What mechanisms did the league use to help align the objectives of the league with the teams?
5. What would have been the advantages and disadvantages of delaying the sale of the franchises until after the first season?